NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH, COURT-II

COMPANY PETITION NO. (CAA)-13(ND)/2019
IN
COMPANY APPLICATION NO. CA (CAA)-125(ND)/2017

IN THE MATTER OF:

SECTION 230 to 232 OF THE COMPANIES ACT, 2013

AND

IN THE MATTER OF SCHEME OF AMALGAMATION

AMONGST

Alankar Chemicals Private Limited
… Petitioner No.1 /Transferor Company No.1

AND

Gayatri Footwears Private Limited
…Petitioner No.2/Transferor Company No.2

AND

VAS Polymers Private Limited
…Petitioner No.3/Transferor Company No.3

WITH

Gayatri Polyrub Private Limited
Petitioner No. 4/Transferee Company

ORDER DELIVERED ON: 29.09.2021

CORAM:

SH. ABNI RANJAN KUMAR SINHA, HON'BLE MEMBER (JUDICIAL)

SH. L. N. GUPTA, HON'BLE MEMBER (TECHNICAL)

PRESENT:

Counsel for the Applicants	**:**	**Rajeev Sharma, Advocate**
Counsel for the OL	**:**	**Hemlata Rawat, Advocate**
Counsel for the RD	**:**	**Priyadarshini Dewan, Advocate**

ORDER

PER SHRI L. N. GUPTA, MEMBER (T)

This Petition is preferred jointly by the Transferor Companies and Transferee Company under Section 230 to 232 of Companies Act, 2013 read with the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016 for approval of the Scheme of Amalgamation (hereinafter referred to as **'Scheme'** for brevity), as contemplated between the Companies, its Shareholders and Creditors. The copy of the Scheme has been placed on record. The details of the Companies proposed to be amalgamated, as placed on record, are given in the following paragraphs.

2. That Alankar Chemicals Private Limited, (hereinafter referred to as "Petitioner-1/Transferor Company-1") was incorporated with CIN number U24249DL1999PTC098103 on the 27.01.1999 under the provisions of the erstwhile Companies Act, 1956 as a private company having its registered office at 138, Rajdhani Enclave, Pitampura, Delhi-110034.

3. That Gayatri Footwears Private Limited, (hereinafter referred to as "Petitioner-2"/"Transferor Company-2") was incorporated with CIN number U19202DL2001PTC112149 on the 23.08.2001 under the provisions of the erstwhile Companies Act, 1956 as a private company having its registered office at 138, Rajdhani Enclave, Pitampura, Delhi-110034.

4. That VAS Polymers Private Limited, (hereinafter referred to as "Petitioner-3"/"Transferor Company-3") was incorporated with CIN number

U24134DL1999PTC097830 on the 07.01.1999 under the provisions of the erstwhile Companies Act, 1956 as a private company having its registered office at 138, Rajdhani Enclave, Pitampura, Delhi-110034.

5. That the Gayatri Polyrub Private Limited, (hereinafter referred to as Petitioner-4"/"Transferee Company") was incorporated with CIN number U25193DL2009PTC191394 on the 18.06.2009 under the provisions of the erstwhile Companies Act, 1956 as a private company having its registered office at 138, Rajdhani Enclave, Pitampura, Delhi-110034.

6. That the present Petition has been filed jointly by all the Transferor Companies and Transferee Company. **All the 'Transferor' and 'Transferee' Companies together are called 'Petitioner Companies' hereinafter**. That the Registered offices of all the Companies being in Delhi, the jurisdiction lies with this Bench.

7. It is submitted by the Petitioner Companies that the Transferee Company will issue shares to the shareholders of all the Transferor Companies after this Scheme becomes effective in the following **share exchange ratio** as per Clause 9 of the Scheme:

> "i. Upon the Scheme final coming into effective and in consideration of the transfer and vesting of the assets and liabilities of the Transferor Company No. 1, in terms of the Scheme, the Transferee Company shall, without any further application, or deed, issue and allot at par 33 equity shares of Rs. 10 each, as fully paid up in the capital of the Transferee Company to every 100 equity shares of the transferor company no. 1, whose name appears in the Register of Members on a date ("Record Date") to be fixed by the Board of Directors of the transferee company for every 100 equity shares of Rs. 10 each held by the said shareholder in Transferor company No. 1.

ii. Upon the Scheme final coming into effective and in consideration of the transfer and vesting of the assets and liabilities of the Transferor Company No. 2, in terms of the Scheme, the Transferee Company shall, without any further application, or deed, issue and allot at par 69 equity shares of Rs. 10 each, as fully paid up in the capital of the Transferee Company to every 100 equity shares of the transferor company no. 2, whose name appears in the Register of Members on a date ("Record Date") to be fixed by the Board of Directors of the transferee company for every 100 equity shares of Rs. 10 each held by the said shareholder in Transferor company No. 2.

iii. Upon the Scheme final coming into effective and in consideration of the transfer and vesting of the assets and liabilities of the Transferor Company No. 3, in terms of the Scheme, the Transferee Company shall, without any further application, or deed, issue and allot at par 14 equity shares of Rs. 10 each, as fully paid up in the capital of the Transferee Company to every 100 equity shares of the transferor company no. 3, whose name appears in the Register of Members on a date ("Record Date") to be fixed by the Board of Directors of the transferee company for every 100 equity shares of Rs. 10 each held by the said shareholder in Transferor company No. 3."

8. From the records, it is seen that the First Motion petition was filed by the Petitioner Companies for seeking directions for dispensing with the meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors of all the Companies. This Tribunal, in the First Motion Application bearing No. CA(CAA)-125(ND)2017, vide Order dated 10.08.2018 had dispensed with the requirement of convening the meetings of the equity shareholders, secured creditors and unsecured creditors of all the companies.

9. The Appointed date as per clause 1.2 of the Proposed Scheme of Amalgamation is 31.03.2017.

10. Subsequently, the Second Motion petition was moved by the Petitioner Companies in connection with the scheme of Amalgamation for issuance of notices to the Central Government, Registrar of Companies NCT of Delhi & Haryana, Regional Director (Northern Region) MCA, Income Tax Authorities, Official Liquidator, and to such other Objector(s), if any, and also for publication of the said Scheme. Directions were issued, vide Order dated 29.11.2019 of this Tribunal, requiring the Applicant Companies to carry out necessary publication with regard to the said Scheme in "Business Standard" (English) and "Jansatta" (Hindi) daily newspapers.

11. It is submitted by the Petitioners that in compliance of the above stated directions, the Petitioners have duly filed an Affidavit of Service confirming that the aforesaid Notices of the present Company Petition were published on 16.01.2020 in the Business Standard (English) and on 15.01.2020 in Jansatta (Hindi) daily newspapers.

12. The Regional Director (North), New Delhi had filed its report dated 24.05.2019 raising some observations in respect of the proposed Scheme. However, vide subsequent report dated 30.08.2019, the Regional Director (North) has submitted that the reply of the petitioner companies seems satisfactory. The same was confirmed by the Counsel for the RD during the hearing on 31.08.2021 that RD has no objection to the Scheme. The same fact has been duly recorded in the orders dated 29.11.2019 and 31.08.2021.

13. The Income Tax Department has filed its reports with regard to the Transferor and Transferee Companies. As regards, the Transferor Company No. 1 i.e., Alankar Chemicals Pvt. Ltd., it has stated that "...*the assessee has filed*

return from A.Y. 2018-19. The demand of Rs. 45 is pending against M/s Alankar Chemicals Pvt. Ltd. for A.Y. 2009-10 raised by CPC. No proceedings are pending against the assessee at this point of time". As regards, the Transferor Company No. 3, namely, M/s VAS Polymers Pvt. Ltd., the Income Tax Department has stated that neither there is any demand outstanding against the company nor the case is selected for scrutiny as per ITD system. As regards, the Transferor Company No. 2 and Transferee Company, the Income Tax Department vide its report dated 18.11.2019 has observed that :

> "*(i). The Income Tax department must be permitted to retain its recourse for recovery in respect of demand and any other future liabilities of the transferor company and the transferee company, in respect of the assets sought to be transferred under the proposed scheme, and that this protection must be made explicitly by the Hon'ble Court in its final order and has to bind all the parties to the scheme, particularly the transferor and transferee companies. There should be no limitation on the power of the Income Tax Department for recovery, including imposition of penalties etc.*
>
> *(ii). Requisite compliance of provision of section 2(1B), 72 A etc. has to be ensured"*

Further, during the hearing on 29.11.2019, the Income Tax Department did not raise any observation with regard to any of the Applicant Companies.

14. The Official Liquidator in its report filed on 19.03.2019 has submitted as follows:

> "*19. That the Official Liquidator on the basis of information submitted by the Petitioner Companies is of the view of that* ***the affairs of the aforesaid Transferor Companies does not appears to have been conducted in a manner prejudicial***

***to the interest of its members or to public interests as per the provisions of the Companies Act, 1956/the Companies Act, 2013 whichever is applicable.*"**

Further, the statement of "no observation" from the Official Liquidator has also been recorded in the order of this authority dated 29.11.2019.

15. In view of the foregoing facts and discussion and upon considering the approval accorded by the Members and Creditors of all the Petitioner Companies to the proposed Scheme and no sustainable objections having been raised by the Office of the Regional Director, Income Tax Department or any other interested party, there does not appear to be any impediment in granting sanction to the Scheme. **Accordingly, in sequel to the above, sanction is hereby granted to the Scheme of Amalgamation proposed by the Applicant Companies under Section 230 to 232 of the Companies Act, 2013**. The sanctioned Scheme of Amalgamation shall be binding on the Transferor Companies and Transferee Company (the Applicant / Petitioner Companies) and their Shareholders and Creditors. The Petitioner Companies shall remain bound to comply with the statutory requirements in accordance with law.

16. Notwithstanding the above, if there is any deficiency found or violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Authority to the Scheme will not come in the way of action to be taken, albeit, in accordance with law, against the concerned persons, Directors and Officials of the Petitioner Companies.

17. While approving the Scheme as above, it is clarified that this Order should not be construed as an order in any way granting exemption from payment of Stamp Duty, Taxes or other statutory dues, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement, which may be specifically required under any law. Further the approval of the Scheme would in no manner affect the tax treatment of the transactions under the Income Tax Act, 1961 or serve as any exemption or defense for the Petitioner Companies against tax treatment in accordance with the provisions of Income Tax Act, 1961.

18. **THIS TRIBUNAL FURTHER DIRECTS** with respect to Transferor companies and Transferee company, that:

(i) Upon the sanction becoming effective from the appointed date of amalgamation i.e., 31.03.2017, the Transferor Companies No.1 to 03 shall stand dissolved without undergoing the process of winding up.

(ii) All benefits, entitlements, incentives and concessions under incentive schemes and policies that the Transferor Companies are entitled to including under Customs, Excise, Service Tax, VAT, Sales Tax, GST and Entry Tax and Income Tax laws, subsidy receivables from Government, grant from any governmental authorities, direct tax benefit/exemptions/deductions, shall, to the extent statutorily available and along with associated obligations, stand transferred to and be available to the Transferee Company as if the Transferee Company was originally entitled to all such benefits, entitlements, incentives and concessions;

(iii) All contracts of the Transferor Companies, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favor of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Companies, the Transferee Company had been a party or beneficiary or obliged thereto;

(iv) All the employees of the Transferor Companies shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favorable than those on which they are engaged by the Transferor Companies, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(v) All liabilities of the Transferor Companies, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Companies Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(vi) All proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company.

(vii) The Income Tax department is permitted to retain its recourse for recovery in respect of demand and any other future liabilities of the transferor companies and the transferee company, in respect of the assets sought to be transferred under the proposed scheme.

(viii) That any person interested shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

19. That the Petitioner Companies shall within thirty days of the date of the receipt of this Order cause a Certified Copy of this Order to be delivered to the Registrar of Companies for registration and on such Certified Copy being so delivered, the Transferor Companies shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Companies on the file kept by him in relation to the Transferee Company and the files relating to all the Petitioner Companies shall be consolidated accordingly.

20. The Company Petition is **ALLOWED** in the aforesaid terms.

Sd/-
(L. N. GUPTA)
MEMBER (T)

Sd/-
(ABNI RANJAN KUMAR SINHA)
MEMBER (J)